

Week 13 Procurement and Supply Chain

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Here's a clear summary of the article "AI in procurement: Building the foundations for the next era of impact" by Baber Farooq. The piece argues that AI in procurement is not mainly a software issue, but a broader organizational transformation involving people, processes, and technology.

1. Main findings and arguments

The article's main argument is that AI adoption in procurement succeeds only when organizations treat it as a full operational redesign rather than layering AI onto old workflows. The author says fragmented and low-context data is the biggest reason AI struggles to scale, because AI cannot produce trusted, enterprise-level recommendations when sourcing, contracting, ERP, HR, and procure-to-pay data all sit in separate systems.

A second major finding is that AI will not replace procurement professionals, but it will change what they do. Instead of spending most of their time on repetitive execution, procurement teams will increasingly validate AI outputs, manage exceptions, apply judgment, and oversee risk. Because of that shift, the article says procurement teams will need stronger AI literacy, data fluency, and comfort working alongside intelligent systems.

The article also argues that process redesign matters as much as technology. It says organizations often make the mistake of adding AI to outdated workflows instead of rebuilding workflows so intelligence is built in from the start. In that model, AI would help shape sourcing strategy, scenario modeling, supplier selection, and bid analysis as part of one integrated process.

Finally, the author emphasizes that AI-native platforms can amplify performance, but they do not solve structural weaknesses on their own. Strong teams and good processes become more productive, while poor data quality, unclear roles, and weak workflows become more visible.

2. Broader implications on society

The broader societal implication is that AI adoption will likely reward organizations and workers that can adapt quickly, while exposing those with weak systems, outdated processes, or low digital readiness. In other words, AI may widen performance gaps between firms that invest in data, training, and redesign and those that do not. That is an inference from the article's argument that AI amplifies both strengths and weaknesses.

The article also suggests a broader workforce shift. As AI takes over more repetitive decision support and administrative work, human roles will move toward oversight, interpretation, and accountability. That means many professions—not just procurement—may place higher value on judgment, digital fluency, and the ability to work with AI tools rather than simply perform routine tasks.

Another implication is that trust and governance will become central social issues in AI adoption. The article stresses that people need to understand how AI reaches recommendations, when to trust it, and when to challenge it. That points to a wider societal need for transparent systems, human-in-the-loop oversight, and responsible deployment rather than blind automation.

3. Relevance or potential influence on the construction industry

This article is very relevant to construction because procurement is a major part of project delivery. Construction firms constantly deal with supplier selection,

subcontractor coordination, material purchasing, contract administration, and schedule-sensitive decisions. The article's point about fragmented data fits construction especially well, since project information is often split across estimating software, ERP platforms, BIM tools, schedules, spreadsheets, emails, and vendor systems. That fragmentation can limit AI's usefulness unless companies improve data integration first. This last industry connection is an application of the article's framework to construction practice.

Its influence on construction could be significant in areas like material procurement, bid comparison, supplier risk monitoring, lead-time forecasting, and contract workflow automation. But the article suggests construction companies will not gain much from AI if they simply bolt it onto messy, manual processes. Firms would need cleaner data, better process design, and staff who can interpret AI recommendations in the context of cost, schedule, quality, and risk.

For the construction workforce, the article also supports the idea that AI is more likely to shift jobs than eliminate them. Project engineers, coordinators, estimators, and procurement staff may spend less time chasing documents or comparing routine options and more time reviewing exceptions, validating recommendations, and making strategic project decisions. That makes the article useful for understanding how AI may reshape construction management work in a practical way.